The Official Yellow Box Method Guide

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What is the Yellow Box Method?
- The Yellow Box Method is one of the core tools in the Fractal System, and it's designed to help you understand where price is likely to stay, break out, or reverse — based purely on structure and probability.

- **What Is the Yellow Box?**
- The Yellow Box is the core balance zone — it's the area where price tends to stay around 80% to 90% of the time. This isn't just a visual box on your chart — it's where liquidity sits, where most market activity takes place, and where you'll see support, resistance, and consolidation happen naturally. It isn't random; instead, it's calculated based on market volatility and trader positioning, marking a zone of liquidity and balance. As a trader, you want to think of the Yellow Box as the "fair value zone." Price will keep gravitating toward it unless something significant forces it out. It helps you focus on what price is most likely to do next — not what you hope or fear it will do.

How to use the Yellow Box Method effectively?

Focus on Liquidity
Understand market activity and fair value

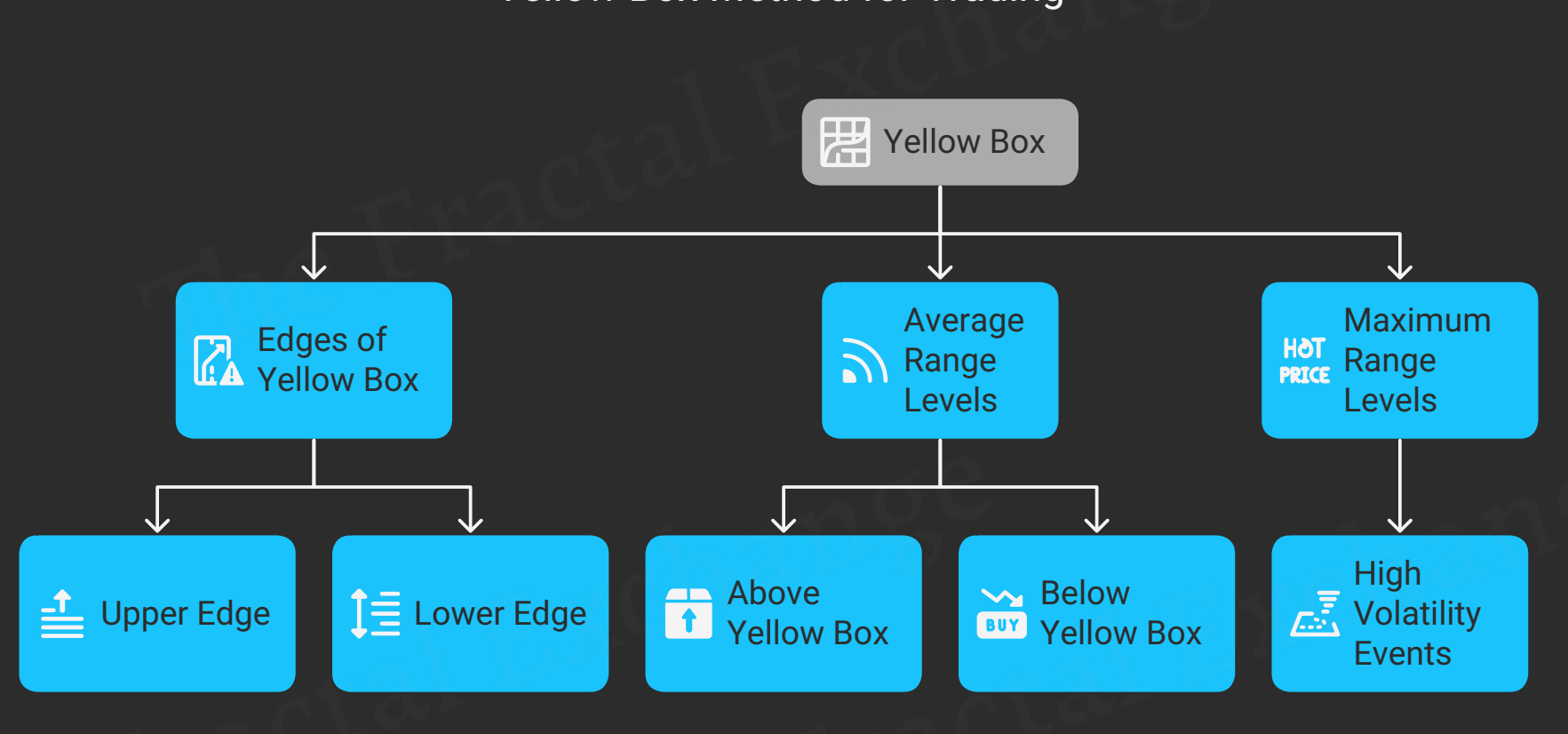
VS

Predict Price Movement
Anticipate breakouts and reversals

- **Key Components of the Yellow Box Method**

1. **Yellow Box (Core Balance Zone)**
    - **Definition:** This is the central area marked by upper and lower price levels, derived from historical volatility. Most trading activity occurs within this area.
    - **Importance:** Price tends to consolidate and revert within this zone, acting as the foundational area for day-to-day trading activities.
2. **Edges of the Yellow Box**
    - These serve as critical "break points."
    - **Upper Edge:** Acts as resistance. If price breaks and holds above, it indicates potential bullish continuation.
    - **Lower Edge:** Serves as support. If price breaks and remains below, it suggests bearish continuation.
3. **Average Range Levels**
    - **Above the Yellow Box:** Represents resistance areas where price often meets selling pressure.
    - **Below the Yellow Box:** Acts as support areas where price commonly finds buying interest.
    - These levels provide strong reversion or breakout opportunities.
4. **Maximum Range Levels**
    - Defined as extreme price levels based on historical volatility data, indicating potential turning points during high volatility or news-driven events.

Yellow Box Method for Trading



- **What About the Red and Green Boxes?**

- Alongside the Yellow Box, you'll also notice Red and Green Boxes on your chart. These are extensions beyond the core balance zone: The Red Box sits above the Yellow Box and represents the average range high. If price breaks out of the Yellow Box to the upside, the Red Box becomes the likely target. It's often used to spot profit-taking levels or resistance zones. The Green Box sits below the Yellow Box and marks the average range low. If price breaks down below the Yellow Box, the Green Box is where you should expect price to gravitate next. It's often seen as a potential support or reversal area. These zones give you clear targets and help you avoid chasing price in the middle of nowhere.

- How to Use It When price is inside the Yellow Box:
- Expect range-bound movement. Focus on reversals from the top or bottom of the box. Use it for quick trims or scalps unless there's a clean breakout.

- When price is breaking out of the Yellow Box:
- That's where things get interesting. A clean candle close outside the Yellow Box is your first clue. If price closes above, it's trying to seek the next level up — often targeting the top of the average range (Red Box). If price closes below, it's targeting the bottom of the average range (Green Box). But here's the catch — not all breakouts are clean. If price steps outside the box and then comes right back in without a solid close, it's often a false breakout. You don't want to chase that. Wait for confirmation.

- Key Details to Watch For Candle Closes:
- A close above or below the Yellow Box increases the win rate dramatically. A 1-minute or 5-minute close adds real confirmation. Rejection at the Edge: If price hits the edge of the box and can't push through, expect a bounce right back to the opposite side. Average Range: Once outside the Yellow Box, price usually targets either the top (Red Box) or bottom (Green Box) of the average range before deciding what's next. Reversion: If price doesn't find strength past the average range, it'll often revert back to the Yellow Box.

How to interpret price movement relative to the Yellow Box?

Price Inside Yellow Box
Expect range-bound movement and focus on reversals.

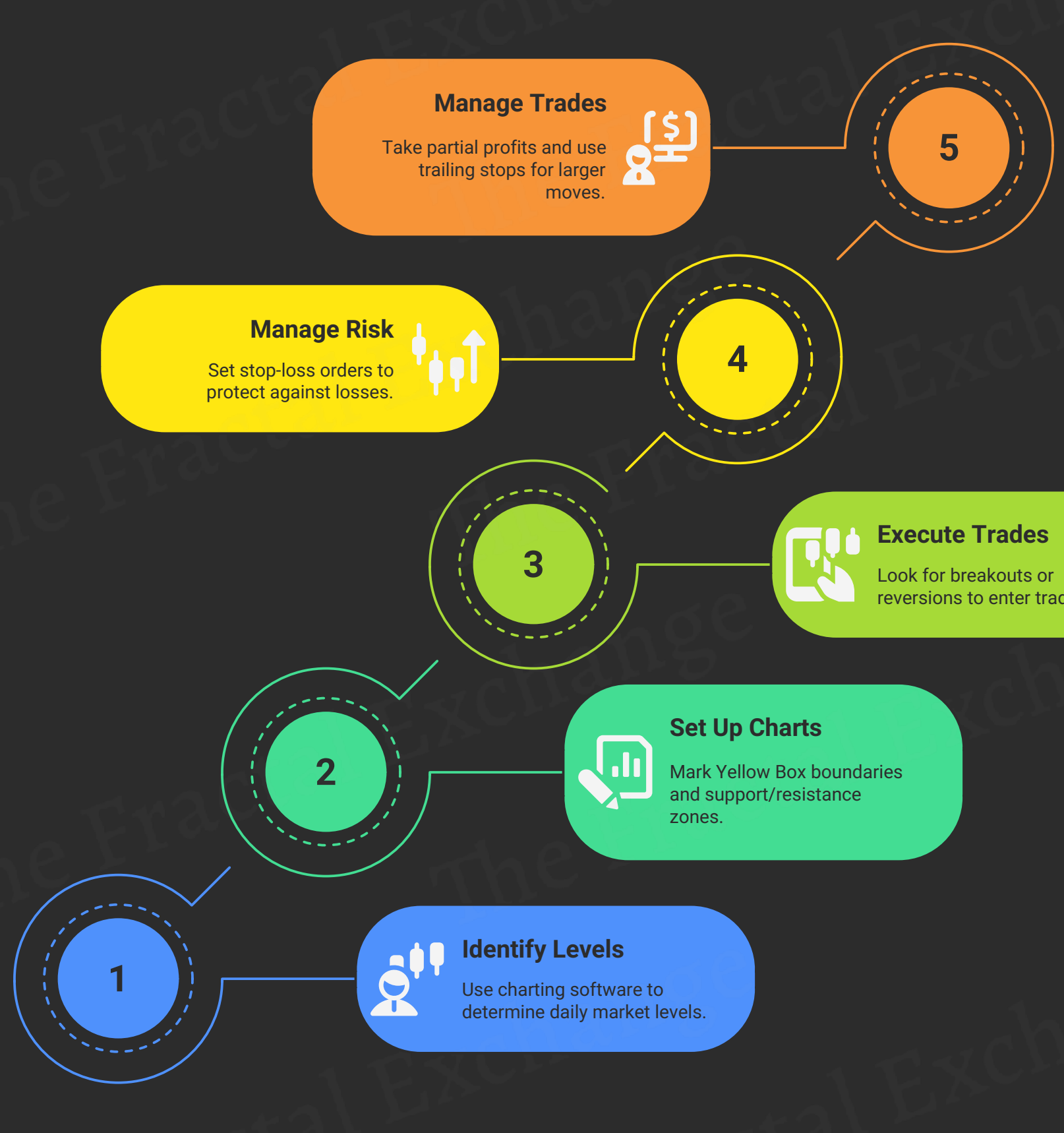
Price Breaks Above Yellow Box
Target Red Box for potential profit-taking or resistance.

Price Breaks Below Yellow Box
Target Green Box for potential support or reversal.

How to Use the Yellow Box Method
Step-by-Step Process:

1. **Identifying Daily Levels**
    - Each day after market close (typically around 5 PM EST), use your charting software with the "Option Analyzer" and select "Wave 7, 60-minute, 50-day" to identify the current market close price and derive the Yellow Box ranges for the following day.
2. **Setting Up Your Charts**
    - Mark the upper and lower bounds of your Yellow Box clearly on your trading chart.
    - Identify and mark the average range and maximum range support and resistance zones.
3. **Executing Trades**
    - **Breakouts:** Look for price action clearly breaking out of the Yellow Box. Confirm breakouts with candle closes (5-minute or 1-minute candles).
        - If a breakout occurs above the Yellow Box, target the upper average range level as your first profit target.
        - If a breakout occurs below, aim for the lower average range as the initial profit target.
    - **Reversions:** When price hits the average range levels but fails to sustain momentum, look for trades that revert back toward the Yellow Box.
4. **Risk Management**
    - Always place your stop-loss just beyond the opposite edge of the Yellow Box from your trade entry. This clearly defines your risk and keeps it manageable.
    - Adjust your stops into profit once the market moves in your favor to protect gains.
5. **Trade Management**
    - Consider taking partial profits at your initial targets and letting the remaining positions run with trailing stops to capture potential larger moves.
    - On extreme volatility days, use maximum range levels as secondary targets.

Mastering the Yellow Box Method



Manage Trades
Take partial profits and use trailing stops for larger moves.

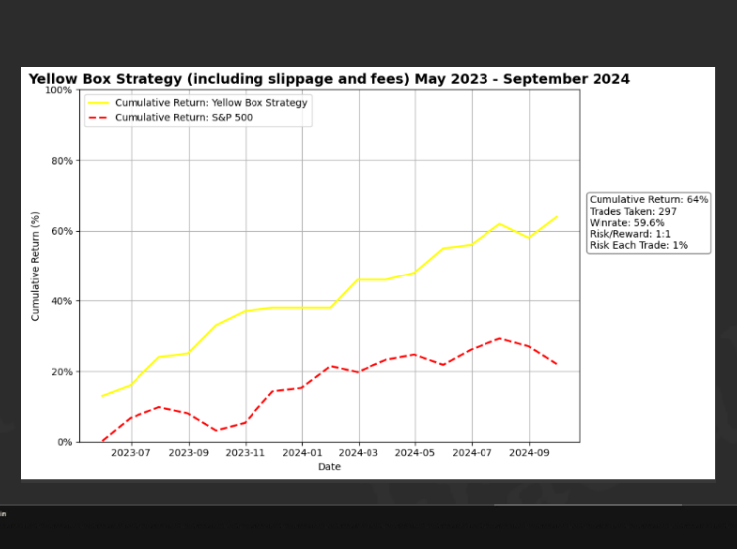
Manage Risk
Set stop-loss orders to protect against losses.

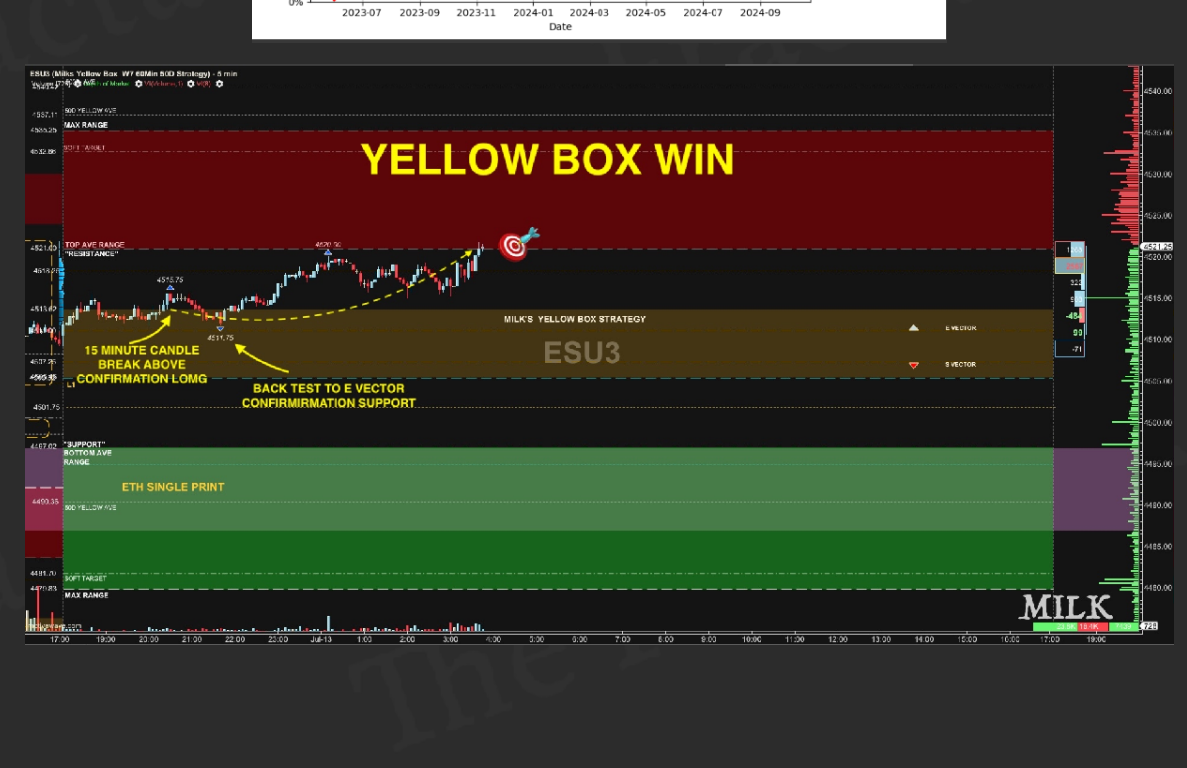
Execute Trades
Look for breakouts or reversions to enter trades.

Set Up Charts
Mark Yellow Box boundaries and support/resistance zones.

Identify Levels
Use charting software to determine daily market levels.

- **How this helps you:**
- This helps you by Instead of guessing, you're reacting to structure. You know when you're inside balance, when you're leaving it, and when price is likely to reverse. It also helps with: Planning entries and exits Knowing where to trim profits Avoiding impulsive trades The Yellow Box isn't just about entries — it's about context. When price is in balance, let it play out. When it breaks? Be ready — but don't jump in blindly. Let structure guide your execution. Mastering this one piece of the system can improve your win rate, reduce noise, and give you a cleaner roadmap every day you trade





YELLOW BOX WIN
ESU3
15 MINUTE CANDLE BREAK ABOVE CONFIRMATION LONG
BACK TEST TO E VECTOR CONFIRMMIRMATION SUPPORT
ETH SINGLE PRINT
MILK

12 Steps to plot The Yellow Box Method

Select Parameters
W/7 60 Min 50 DTL

Select Yesterdays Close
Using the previous day's closing price as a reference

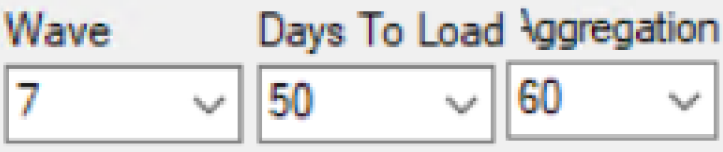
Yellow Box Values
Identifying yellow box values

Current Price
Ensuring the analysis is based on the latest market data

Common Rejection Points
Finding frequent price reversal levels for H & L values

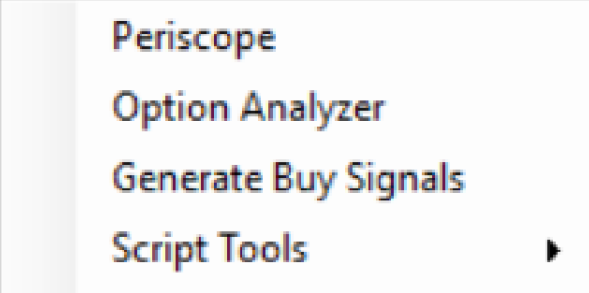
Max Rejection Points
Identifying extreme price reversal levels

1. Select Parameters

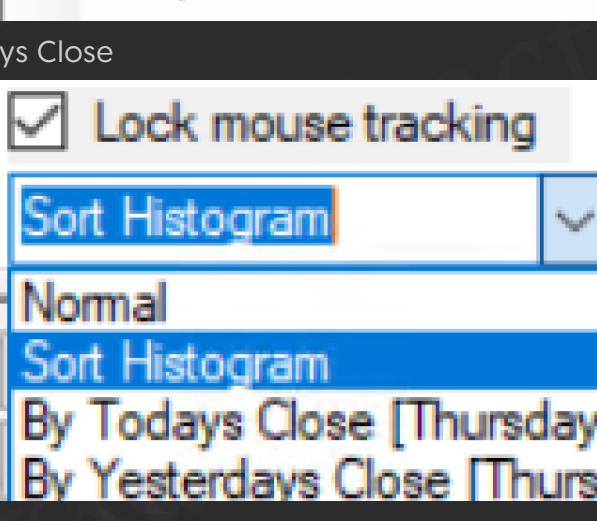


Wave 7
Days To Load 50
Aggregation 60

2. Right Click on the chart and choose the second option down(Option Analyzer)

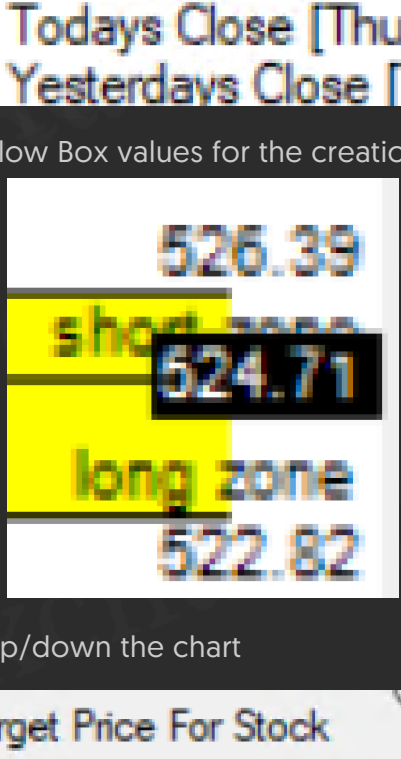


3. Select By Yesterdays Close

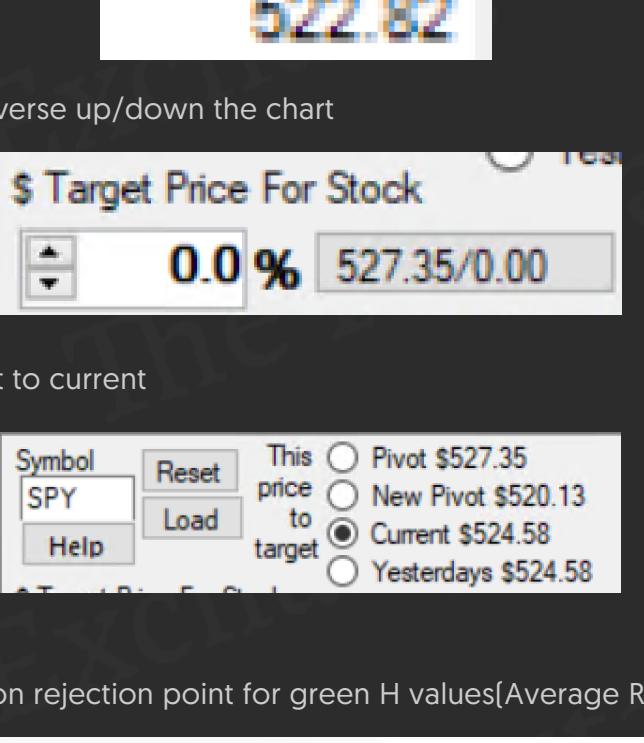


☑ Lock mouse tracking
Sort Histogram

4. Plot Top and Bottom Yellow Box values for the creation of the yellow box

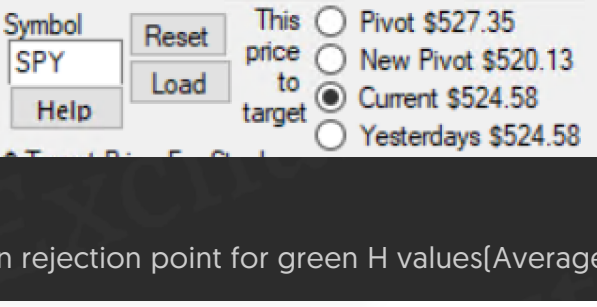


5. Use arrows to traverse up/down the chart



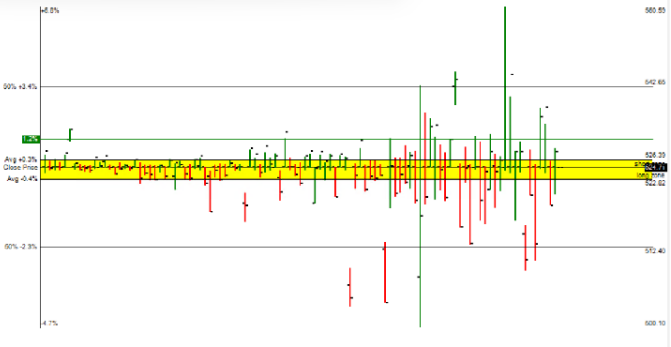
$ Target Price For Stock
0.0 % 527.35/0.00

6. Ensure price is set to current

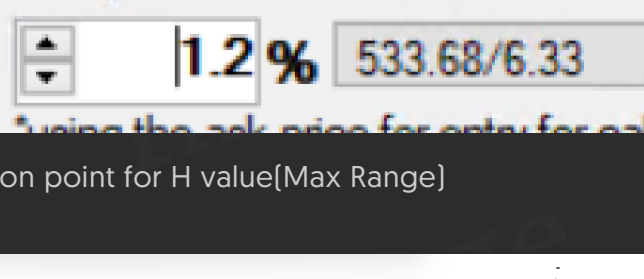


Symbol SPY
This price to target
○ Pivot $527.35
○ New Pivot $520.13
● Current $524.58
○ Yesterdays $524.58

7. Find most common rejection point for green H values(Average Range)

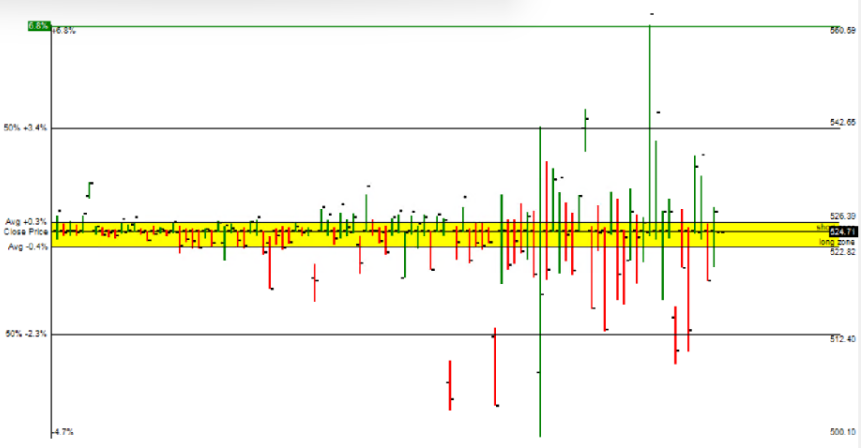


8. Price will be shown here

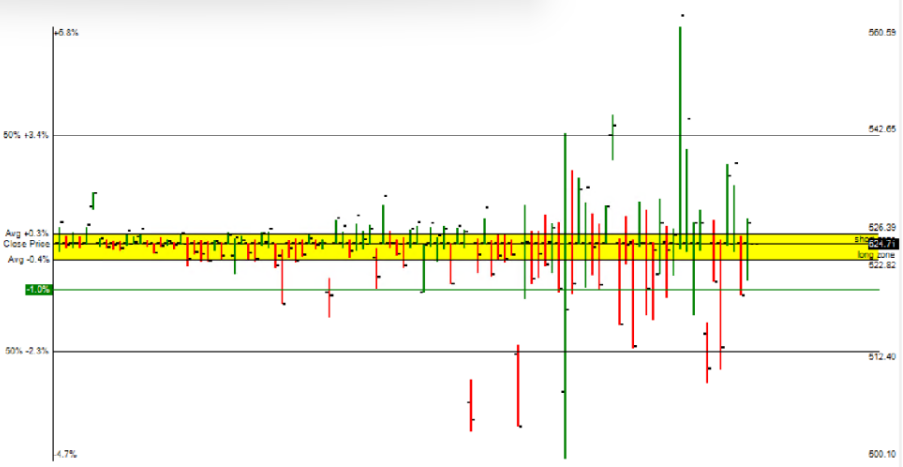


$ Target Price For Stock
1.2 % 533.68/6.33

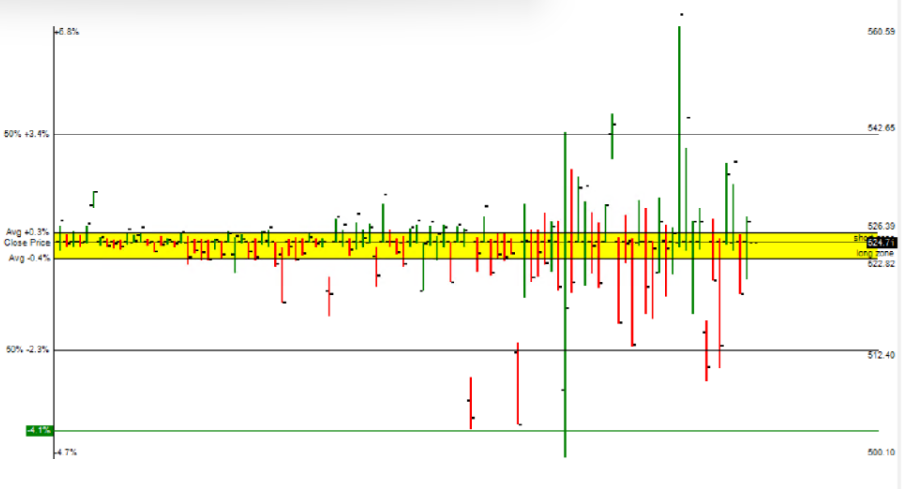
9. Find max rejection point for H value(Max Range)



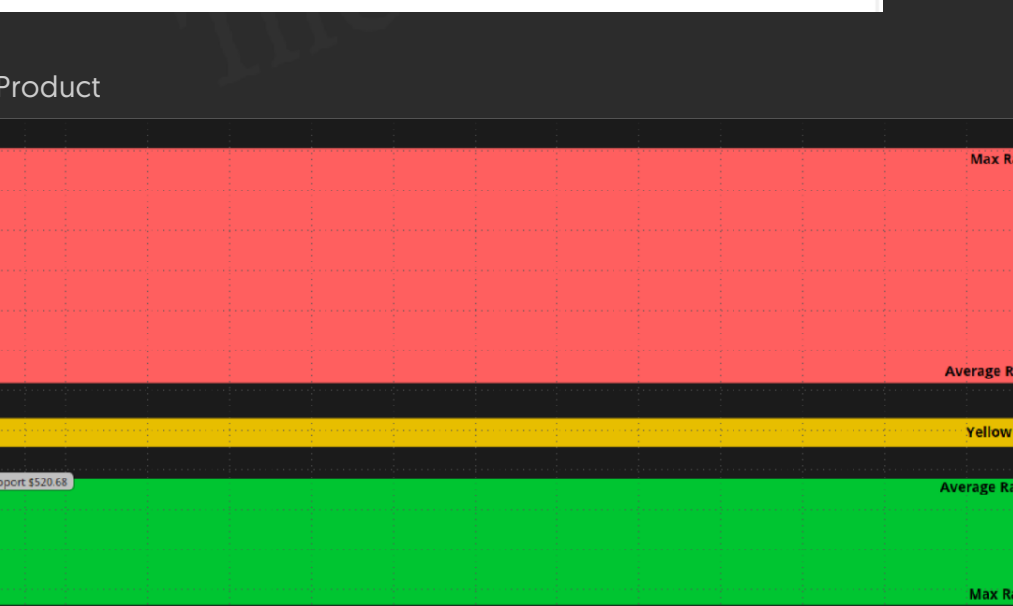
10. Find most common rejection point for L value(Average Range)



11. Find max rejection point for L value(Max Range)

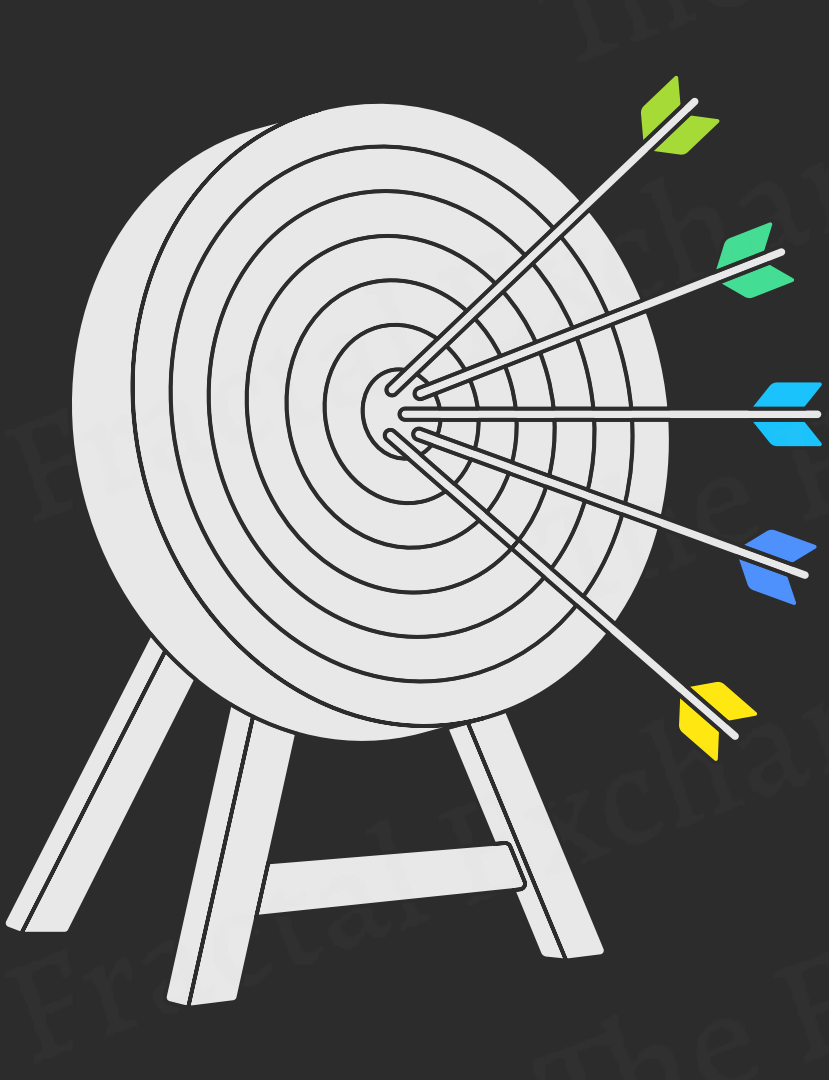


12. Finished Product



Practical Example (Daily Trading Routine)
- After market close, record your Yellow Box and range levels take notes also and keep track.
- Before market opens, clearly mark these levels on your charts.
- Wait for clear signals:
    - Don't forget if price breaks above the Yellow Box, place a long trade targeting the upper average range.
    - if price breaks below, place a short trade targeting the lower average range.
- Monitor closely, adjusting stops into profit as the trade moves in your favor.

Yellow Box Trading Strategy



Monitor and Adjust
Continuously watch and adjust stops

Execute Trade
Place trades based on breakout signals

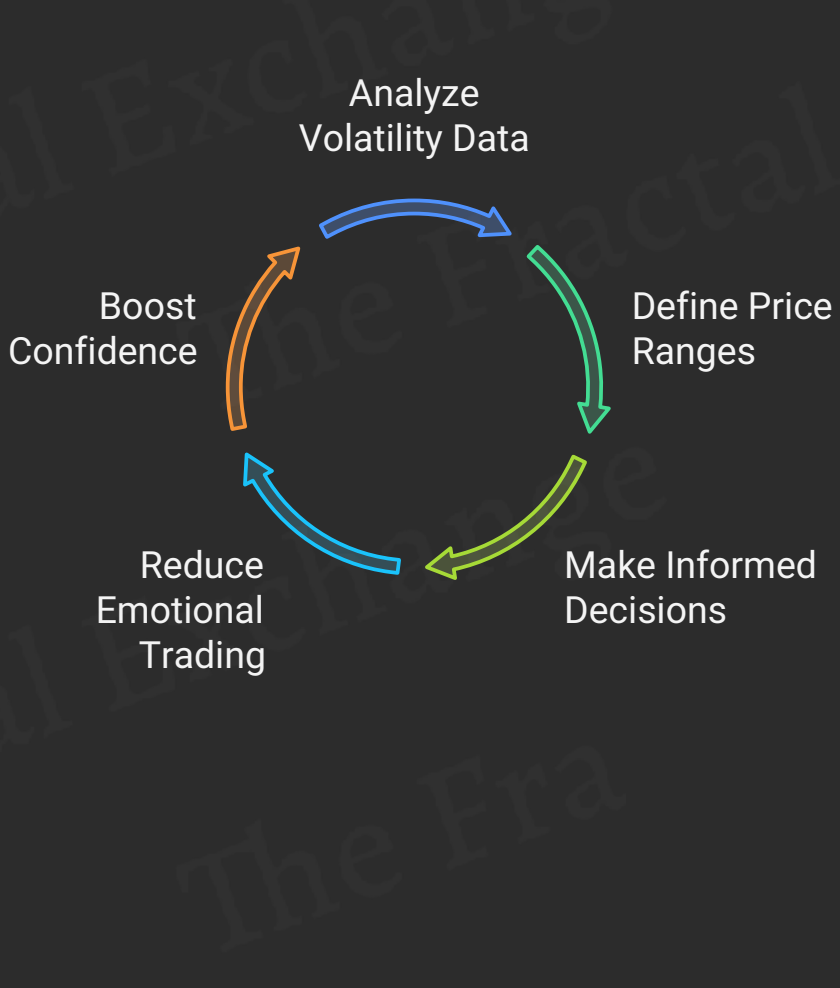
Identify Signals
Recognize price breakouts from Yellow Box

Mark Levels
Clearly mark Yellow Box and range levels

Record Levels
Record levels after market close

Summary
By following the Yellow Box method, you're trading with a clear, structured approach based on proven volatility data and historical market behavior. This method removes emotional trading, reduces guesswork, and boosts confidence by clearly defining high-probability price ranges and decision points each trading day.

The Yellow Box Trading Cycle



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